

SoFi Technologies (NASDAQ: SOFI)

Equity research memo | August 2026 | Ashley

Price at analysis \$18.38 | P/TBV 2.5x | Cost of equity 14.0%

Recommendation

I would not buy SoFi at \$18.38. The price embeds a terminal return on tangible common equity of roughly 29%, at the top of management's own long-term target range, while my forecast reaches 13.3% by 2028.

The more useful version of the call is narrower. SoFi is not obviously mispriced on operating performance; it is mispriced on classification. Holding every operating assumption constant and changing only the beta, the model returns \$10.18 at the 2.20 beta the stock actually trades on and \$19.77 at the 1.2 beta typical of a regional bank. The market is paying a bank-like price while pricing fintech-like risk, and those two positions are not consistent. Until the deposit franchise matures enough to compress beta, the observed 2.20 is the honest input, and on that input the stock is worth roughly half what it costs.

What the market is assuming

SoFi trades at 2.5x tangible book value. For a bank, price to book and returns are linked directly: $P/TBV = (ROTCE - g) / (Ke - g)$. Solving that relationship for the return implied by today's price, at a 14.0% cost of equity and 4% long-run growth:

$$ROTCE = 2.5 \times (14\% - 4\%) + 4\% = \text{approximately } 29\%$$

For \$18.38 to be the correct price, SoFi must earn roughly 29% on tangible common equity in perpetuity. Management's own long-term target range tops out at 30%. The current price therefore assumes sustained best-case execution, permanently, with nothing going wrong.

What my forecast produces

Three-year projections built from the 2025 annual report and the first half of 2026, driven by deposit growth, loan growth, net interest margin, and expense growth, reach 13.3% ROTCE by 2028. Less than half of what the price requires. Two things hold the return down, and neither is credit.

Operating expense. SoFi's costs grew 33% in the first half of 2026, faster than the 27% recorded in 2025, because management is funding new products rather than harvesting profit. I assume expense growth decelerates from 32% in 2026 to 21% by 2028, which still leaves the cost base at 76.5% of net revenue in the terminal year, down from 84.6% in 2025. Operating leverage arrives, but slowly, and it is the main reason net income margin only reaches 17.7% by 2028.

The equity the loan book consumes. Loans grow 40%, 30%, and 24% across the forecast, and a regulated lender has to hold capital against them, so tangible book value expands alongside earnings. Return on tangible common equity is a ratio, and a fast-growing denominator suppresses it even when the numerator is compounding well. That is why ROTCE climbs only from 8.4% in 2026 to 13.3% in 2028 despite net income nearly tripling over the same period.

Credit is deliberately not on this list. Provision expense looks implausibly small at 0.08% of loans, but that reflects accounting rather than underwriting: most of SoFi's book is carried at fair value and re-priced quarterly, so expected losses are already embedded in the loan's carrying value instead of appearing as a separate expense. Actual credit performance shows up in charge-offs, where personal loans ran at 2.62% in Q2 2026, an improvement on 2.83% a year earlier.

Valuation

Method	Value per share	What it assumes
Residual income	\$10.18	Returns above a 14.0% hurdle on tangible book
Justified P/TBV	\$11.75	Terminal ROTCE and growth held to my forecast
Bank comparables	\$12.56	SoFi trades like a regional bank
Fintech comparables	\$20.94	SoFi trades like a growth platform

The spread between methods is the finding, not a failure. Three of four methods cluster at \$10 to \$13 because all three treat SoFi as a bank. The fintech comparable set says \$20.94 because that peer group treats SoFi as a growth platform. The market cannot decide which company this is, and that indecision is worth roughly 2x on the share price.

Why residual income rather than a DCF. Free cash flow is the wrong lens for a bank. Deposits are not financing; they are raw material, the input the business converts into loans, so the usual separation of operating and financing cash flow collapses. Capital is also regulated rather than discretionary: growth in lending forces growth in equity. Residual income sidesteps both by starting from reported tangible book value and valuing only the returns earned above the cost of equity.

Bear, base, and bull. Each case moves beta, terminal ROTCE, terminal growth, and execution together rather than one at a time.

Case	Beta	Terminal ROTCE	Value per share	vs. \$18.38
Bear	2.6	14%	\$5.03	(73%)
Base	2.2	20%	\$10.18	(45%)
Bull	1.4	26%	\$25.47	+39%

The spread from \$5.03 to \$25.47 is driven mainly by beta rather than by operating performance. That is the thesis in one line: for this company, at this price, the classification question is worth more than the execution question.

Cost of equity

CAPM: 4.69% risk-free rate (10-year Treasury, FRED DGS10) + 2.20 beta (five-year monthly) $\times$ 4.23% equity risk premium (Damodaran) = 14.0%.

The 2.20 beta is high for an institution holding a bank charter. It reflects how the stock trades rather than what the balance sheet holds, and published betas for SoFi range from roughly 1.8 to 2.6 depending on methodology. The sensitivity grid shows what the valuation looks like at lower figures.

What would change my mind

Beta compressing toward bank peers. This is the largest single lever in the model, larger than any operating assumption. At the 2.20 beta the stock currently trades on, the residual income model returns \$10.18. Hold every operating assumption identical and substitute a 1.2 beta, typical of a regional bank, and the same model returns \$19.77 against an \$18.38 price. If the deposit franchise matures and the market begins pricing SoFi's risk like a bank's, the valuation gap closes without SoFi executing any better than I already assume.

Noninterest expense growing materially slower than 21% by 2028. My forecast leaves the cost base at 76.5% of net revenue in the terminal year. Management has said explicitly that it would rather invest in growth than report higher profit, and has raised its revenue target while holding its profit target flat. Evidence that the new-product spending has stopped scaling with revenue would lift terminal ROTCE directly.

Fee income exceeding 40% of net revenue. It sits at 38.3% in my 2028 forecast, barely changed from 38.6% in 2025, so the mix shift I model is negligible. Fee revenue from the Loan Platform Business is capital-light: it raises the numerator of ROTCE without expanding the denominator. A genuine shift past 40% would mean returns rise on a smaller equity base, which is precisely the bull case.

Limitations

The fintech peer set is bimodal: a small number of expensive names pull the median upward, so the \$20.94 figure is closer to an artifact of peer selection than a signal about SoFi. Terminal ROTCE is the assumption everything downstream hangs on, and it is a judgment rather than a derivation. The three-year forecast horizon is short for a business still changing shape.

Reflection

I built this model to answer what SoFi is worth, and the most useful outcome was learning why the model could not answer that question cleanly. Three years of projections moved the valuation far less than two judgments I made before typing the first number: the discount rate and the peer group. Beta alone swings identical operating assumptions from roughly \$10 to roughly \$20. More importantly, residual income is negative in all three forecast years, subtracting \$701 million of present value, so every dollar of premium over the \$6.90 tangible book value comes from a terminal return I chose rather than derived. That changed how I read valuations: they are arguments about what kind of company something is, with arithmetic attached. With another week I would spend all of it deriving terminal ROTCE from the bottom up, out of products per member and cost to serve, because that single judgment carries more of the answer than every forecast line combined.